

Noninterest expense

Year ended December 31, (in millions)	2025	2024	2023
Compensation expense	\$54,487	\$ 51,357	\$ 46,465
Noncompensation expense:			
Occupancy	5,461	5,026	4,590
Technology, communications and equipment ^(a)	11,029	9,831	9,246
Professional and outside services	12,356	11,057	10,235
Marketing	5,531	4,974	4,591
Other expense	6,776	9,552 ^(c)	12,045
Total noncompensation expense	41,153	40,440	40,707
Total noninterest expense	\$95,640	\$ 91,797	\$ 87,172
Certain components of other expense^(b)			
Legal expense	\$ 361	\$ 740	\$ 1,436
FDIC-related expense	531	1,893	4,203
Operating losses	1,292	1,417	1,228

(a) Includes depreciation expense associated with auto operating lease assets. Refer to Note 18 for additional information.

(b) Refer to Note 6 for additional information.

(c) Included a \$1.0 billion contribution of Visa shares to the JPMorgan Chase Foundation recorded in the second quarter of 2024. Refer to Note 6 for additional information.

2025 compared with 2024

Compensation expense increased driven by:

- growth in the number of employees, primarily front office employees, and
- higher revenue-related compensation, predominantly in CIB and AWM.

Noncompensation expense increased, primarily reflecting:

- higher brokerage expense in CIB and higher distribution fees in AWM,
- higher depreciation expense on higher auto operating lease assets in CCB,
- higher investments in technology across the LOBs and Corporate and in marketing in CCB, and
- higher occupancy expense, reflecting net additions and improvements to the Firm's properties, including its new headquarters, bank branches and other corporate offices,

partially offset by

- lower FDIC-related expense driven by releases of FDIC special assessment accruals of \$763 million in Corporate, compared with an accrual increase of \$725 million in the first quarter of the prior year, and

- the absence in Corporate of the following items recorded in the prior year
 - a \$1.0 billion contribution of Visa shares to the JPMorgan Chase Foundation, and
 - restructuring and integration costs associated with First Republic.

Refer to Note 6 for additional information on FDIC-related expense and Visa shares, and Note 34 for additional information on the First Republic acquisition.

Income tax expense

Year ended December 31, (in millions, except rate)	2025	2024	2023
Income before income tax expense	\$ 72,595	\$ 75,081	\$ 61,612
Income tax expense	15,547	16,610 ^(a)	12,060
Effective tax rate	21.4 %	22.1 %	19.6 %

(a) Effective January 1, 2024, as a result of adopting updates to the Accounting for Investments in Tax Credit Structures guidance, the amortization of certain of the Firm's alternative energy tax-oriented investments is now recognized in income tax expense. Refer to Notes 1, 6, 14 and 25 for additional information.

2025 compared with 2024

The **effective tax rate** decreased driven by:

- a \$774 million income tax benefit in Corporate recorded in the second quarter of 2025, driven by the resolution of certain tax audits and the impact of tax regulations related to foreign currency translation gains and losses finalized in 2024 and effective for 2025, and
 - higher tax benefits related to the vesting of employee share-based awards,
- partially offset by
- other changes in the level and mix of income and expenses subject to U.S. federal, state and local taxes, and
 - lower benefits associated with other tax audits.

Refer to Note 25 for additional information.

CONSOLIDATED BALANCE SHEETS AND CASH FLOWS ANALYSIS

Consolidated balance sheets analysis

The following is a discussion of the significant changes between December 31, 2025 and 2024. Refer to pages 154–157 for a discussion of the Critical Accounting Estimates Used by the Firm that affect the Consolidated Balance Sheets.

Selected Consolidated balance sheets data

December 31, (in millions)	2025	2024	Change
Assets			
Cash and due from banks	\$ 21,742	\$ 23,372	(7)%
Deposits with banks	321,596	445,945	(28)
Federal funds sold and securities purchased under resale agreements	336,426	295,001	14
Securities borrowed	286,191	219,546	30
Trading assets	802,873	637,784	26
Available-for-sale securities	507,198	406,852	25
Held-to-maturity securities	270,134	274,468	(2)
Investment securities, net of allowance for credit losses	777,332	681,320	14
Loans	1,493,429	1,347,988	11
Allowance for loan losses	(25,765)	(24,345)	6
Loans, net of allowance for loan losses	1,467,664	1,323,643	11
Accrued interest and accounts receivable	111,599	101,223	10
Premises and equipment	36,244	32,223	12
Goodwill, MSRs and other intangible assets	64,458	64,560	—
Other assets	198,775	178,197	12
Total assets	\$ 4,424,900	\$ 4,002,814	11 %

Cash and due from banks and deposits with banks decreased driven by Markets activities in CIB, higher investment securities, higher loans and cash deployment in Treasury and CIO, largely offset by the impact of higher deposits and higher long-term debt.

Federal funds sold and securities purchased under resale agreements increased driven by Markets, reflecting the impact of lower levels of netting, higher collateral requirements and higher demand for securities to cover short positions.

Securities borrowed increased driven by Markets, reflecting higher client-driven activities and higher demand for securities to cover short positions. Refer to Note 11 for additional information on securities purchased under resale agreements and securities borrowed.

Trading assets increased predominantly driven by Markets, due to higher levels of debt instruments, partially offset by lower levels of equity instruments, both related to client-driven market-making activities. Refer to Notes 2 and 5 for additional information.

Investment securities increased. Excluding a non-cash transfer in the third quarter of 2025 of \$44.1 billion of securities from available-for-sale ("AFS") to held-to-maturity ("HTM") for asset-liability management purposes,

- AFS securities increased driven by net purchases, predominantly U.S. Treasuries and non-U.S. government debt securities, partially offset by maturities and paydowns; and
- HTM securities decreased driven by maturities and paydowns.

Refer to Corporate results on pages 80–82, Investment Portfolio Risk Management on page 132, and Notes 2 and 10 for additional information.

Loans increased, reflecting:

- higher wholesale loans, predominantly in Markets associated with higher client demand,
 - higher securities-based lending in AWM due to higher client demand, and
 - higher outstanding balances in Card Services driven by growth in new accounts and higher revolving balances,
- partially offset by
- a decline in Home Lending as loan sales and paydowns outpaced originations.

The **allowance for loan losses** increased, reflecting a net addition to the allowance for loan losses of \$1.4 billion, and consisted of: